

OCTOBER 5, 2026 · INVESTMENT COMMITTEE · DRAFT FOR DISCUSSION

Project Equity Belt

Midwest Specialized Logistics Platform

A **\$206M** distressed-for-control roll-up of Dayton–Springfield, Ohio heavy-haul and construction-logistics carriers. Every employee owns equity. The platform is anchored by dedicated freight to Arsenal-1 and Blackstone's QTS data center network. **Tactical Opportunities** leads the operating company; **Blackstone Infrastructure Partners** owns the fleet and terminal property company.

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\$206M total capitalization ⁽⁸⁾	\$106M Blackstone equity: Tac Opps \$61M, BIP \$45M ⁽⁸⁾	52.7% OpCo gross IRR, base case (5.4x) ⁽⁸⁾	13.7% PropCo gross IRR, contracted (1.6x) ⁽⁸⁾	\$48k average employee payout, about 9 months' pay ⁽⁵⁾⁽⁸⁾
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COMMITTEE ASK: PHASE 1 APPROVAL BEFORE NOVEMBER 3

\$48M of immediate deployment to establish the platform while carrier distress and the Springfield layoffs are front of mind: (i) **\$25M** of rescue (DIP) loans across 2–3 Midwest Chapter 11 carriers, with the right to credit-bid the loans as purchase price (Tac Opps); (ii) **\$20M** of Chapter 7 fleet and yard purchases from trustees (BIP PropCo); (iii) **\$3M** for diligence, the diesel hedge program and Ownership Works program setup. Phase 2 (the platform acquisition, stalking-horse bids and add-ons; the remaining \$158M) returns to committee in Q1 2027.

Situation

LABOR DISLOCATION Nearly 1,400 workers were laid off at the Navistar truck plant in Springfield, OH, enough to erase a year of job growth in greater Dayton. The plant transferred to Roshel on Oct 2, and rehiring is uncertain. ⁽¹⁾ That leaves a trained pool of assembly workers, technicians and drivers available within 25 miles.	CARRIER DISTRESS At least 16 U.S. carriers filed for bankruptcy from late August through September as diesel reached a record \$6.37/gal . Eight were midsize-or-larger Chapter 11s; the rest were mostly 1–6 truck Chapter 7 liquidations. ⁽²⁾ Ohio filings in 2026 include Platinum Express (Chapter 11, May) and TJ Trucking (Chapter 11, July). ⁽⁹⁾	DEMAND ANCHORS Arsenal-1 (Anduril, Pickaway County) is producing from Building 1. Building 2 (more than 924k sq ft) is under construction, and the site has a phased buildout to 2035 with 4,008 jobs. ⁽³⁾ The Central Ohio data center corridor needs oversize freight: transformers, switchgear and modular electrical rooms. QTS is co-owned by BIP and BREIT. ⁽⁴⁾
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II Investment thesis

- **Buy below replacement cost at a late-cycle low.** A Dalio-style late-cycle energy shock is forcing leveraged small operators to sell. Bankruptcy routes acquire carriers at 2.5–3.5x normalized EBITDA and fleets at 50–65% of replacement cost.
- **Specialized, contracted freight, not commodity dry van.** Dedicated contracts with Arsenal-1 contractors and QTS carry fuel-surcharge pass-through and multi-year terms, which reduces exposure to the spot-rate cycle.
- **Employee ownership as the operating lever.** Under the Ownership Works model, all ~1,500 employees receive equity. At KKR's C.H.I. Overhead Doors, the same model accompanied a 4x EBITDA increase and an average \$175k payout to hourly workers.⁽⁵⁾
⁽⁶⁾ The main value driver in trucking is retention: we underwrite driver turnover falling from 60% to 20%.
- **Cross-platform synergy within Blackstone.** BIP's QTS ownership provides a captive anchor customer. BIP's long-duration capital is suited to the hard assets and to an eventual sale to an employee stock ownership plan (ESOP).
- **Policy tailwinds.** The bipartisan Employee Equity Investment Act (Rubio / Moore / Van Hollen) and the Empowering Small-Business Ownership Act would lower the cost of ESOP conversion and open Defense Department contracting to ESOPs. Neither is in the base case.⁽⁵⁾⁽⁷⁾

III Transaction structure: why Tac Opps and BIP together

Tac Opps capacity is constrained, so the deal is split along asset lines. BIP takes the hard, contracted, long-lived assets. Tac Opps takes the operating turnaround and the equity upside. This cuts the Tac Opps check from \$111M (single-fund structure) to **\$61M**.

OPCO · TACTICAL OPPORTUNITIES

- Carrier operations, contracts, dispatch, CDL school, maintenance shops
- Rescue (DIP) loans, credit bids and stalking-horse bids
- Employee equity pool: 18% of exit equity value
- \$45M senior debt (about 2.0x Y0 EBITDA); \$61M equity
- Exit: sale to a strategic or sponsor (Exit A), or a 100% S-corp ESOP (Exit B)

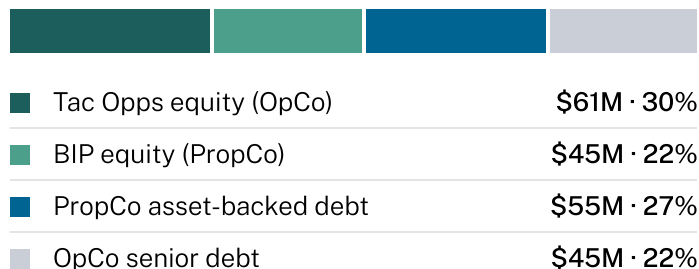
PROPCO / FLEETCO · INFRASTRUCTURE PARTNERS

- \$70M of tractors and trailers (including Chapter 7 purchases) and \$30M of terminals, yards, a transload facility and the training campus
- Triple-net master lease to OpCo: 13% of asset value, 2.5% annual escalator
- Lease payments backed by the Arsenal-1 and QTS dedicated contracts
- \$55M asset-backed debt at 7.0%; \$45M equity; 6% fleet replacement reserve
- Long hold; can provide acquisition debt for an Exit B ESOP buyout

IV Sources & uses ⁽⁸⁾

Uses	\$M	Basis
Specialized platform carrier	98	\$15M EBITDA × 6.5x
6 distressed carriers (Chapter 11 / 363 sales)	63	\$21M norm. × 3.0x
Chapter 7 fleet & yards	20	50–65% of replacement
Turnaround working capital & capex	15	
Fees & expenses	10	
Total	206	5.7x all-in

Sources



V Acquisition pathways

Route	Mechanism	Entry	Fund	Before Nov 3?
A. Rescue (DIP) loans	\$5–15M per Chapter 11 carrier at 12–14% plus fees; the loan can be credit-bid as purchase price	Par or ownership via credit bid	Tac Opps	Yes: interim court orders
B. Stalking-horse bids	Opening bid in a court-supervised (363) sale, with break-up fee	2.5–3.5x	Tac Opps	Agreement filed; closes in 30–60 days
C. Chapter 7 assets	Fleet and yards bought from trustees	50–65% of replacement	BIP	Yes
D. Platform	Healthy flatbed / heavy-haul carrier	6–7x	Tac Opps + BIP sale-leaseback	LOI only
E. "Silver Tsunami"	Retiring owner-operators selling to their own drivers through an employee-ownership conversion	3.5–4.5x	Tac Opps	Outreach begins

VI Value creation: Y0 to Y4 EBITDAR ⁽⁸⁾

Normalized EBITDAR		\$36M
Fuel & procurement		+\$8M
Retention (employee ownership)		+\$7M
Arsenal-1 / QTS dedicated		+\$16M
Y4 EBITDAR		\$67M
Less PropCo lease (Y4)		-\$14M
Y4 OpCo EBITDA		\$53M

Retention: about 1,500 drivers; turnover falling from 60% to 20% means 600 fewer replacement hires at about \$12k each to recruit, onboard and cover lost utilization.

VII Returns ⁽⁸⁾

OpCo: Exit A, sale to a strategic or sponsor, 4-year hold

Case	Y4 EBITDAR	OpCo EBITDA	Multiple	Equity value	Employee pool (18%)	Avg / employee	Tac Opps MOIC	IRR
Downside	\$45M	\$31M	6.5x	\$167M	\$30M	\$20k · 4 mo.	2.2x	22%
Base	\$67M	\$53M	8.0x	\$404M	\$73M	\$48k · 9 mo.	5.4x	53%
C.H.I.-style upside	\$90M	\$76M	9.0x	\$669M	\$120M	\$80k · 15 mo.	9.0x	73%

PropCo (BIP)

Y1 lease income	\$13.0M
Less interest and fleet replacement reserve	(\$8.1M)
Y1 cash yield on equity	11.0%
Y4 equity (fleet held, real estate +3%/yr)	\$48.8M
Gross MOIC / IRR	1.6x / 13.7%

Combined Blackstone and Exit B

Combined BX equity in	\$106M
Combined value out (base)	\$402M
Combined MOIC / IRR	3.8x / 41%
Exit B: 100% ESOP at 7.0x (60% cash at close, 40% note over 5 years at 8%)	\$351M
Exit B Tac Opps MOIC / IRR	6.3x / 46%

Under Exit B, employees own 100% of the company and no separate pool is paid. Because a 100% ESOP S-corp pays no federal income tax, the note is serviced from untaxed cash flow. BIP can provide the ESOP's senior acquisition debt.

VIII Employee ownership program ⁽⁵⁾⁽⁶⁾

Ownership Works pillar	Implementation at the platform
Broad-based equity	Day-one grants to every driver, technician, dispatcher and yard worker; free; no wage or 401(k) trade-off
Financial literacy	Quarterly open-book sessions covering cost per mile, hedge P&L, debt paydown and the value of each share
Voice	Terminal-level driver councils with input on routing, maintenance and safety priorities
Shared success	Pool sized to pay 6–12 months of salary at exit; base case about 9 months on a \$65k average salary

IX

Political necessity: why before November 3

The Springfield layoffs were announced days before a presidential rally in the area. That put a blue-collar job loss at the center of the last month of the midterm campaign.⁽¹⁾⁽¹⁰⁾ The internal research paper behind this deal argues that broad-based employee ownership is the policy answer both parties are now competing to own.⁽⁵⁾ For Blackstone, announcing before November 3 turns a cyclical distressed trade into the reference case for that debate.

1 · THE WINDOW CLOSES ON NOV 3

Public attention on the layoffs and the bankruptcy wave peaks before Election Day. After it, the story moves on and the 120th Congress sets its agenda in January 2027. A live Ohio platform with employee-owners on payroll gives that agenda a ready-made proof point.

2 · BOTH PARTIES WANT THE SAME VOTER

Non-college, working-class voters decide Rust Belt races. The paper describes a "policy vacuum": loyalty that is cultural but not yet economic. Employee ownership is one of the few positions with cross-party support: 72% of Republicans and 74% of Democrats prefer to work for an employee-owned company.⁽⁵⁾

3 · REVERSING THE "VULTURE CAPITAL" STORY

Private equity is usually cast as the cause of plant closures and layoffs. This deal reverses that: Blackstone capital arrives after the layoffs and makes drivers and technicians owners. Following the C.H.I. template, it becomes "PE that turns workers into owners," which reduces political and regulatory pressure on the asset class.⁽⁵⁾⁽⁶⁾

4 · DALIO'S INTERNAL-CONFLICT RISK

A record wealth gap plus a downturn (the diesel shock and freight recession) is Dalio's setup for rising populism. Capital that visibly shares the gains with workers is a hedge for the franchise: it shows market mechanisms closing the gap without redistribution.⁽⁵⁾

5 · LEGISLATIVE LEVERAGE

The EEIA (Rubio / Moore / Van Hollen) and the Empowering Small-Business Ownership Act (Mills) are pending. A working Ohio case before the new Congress improves their odds. Passage would cut the cost of the ESOP exit (Exit B) and of buying from retiring owners (route E), and open Defense Department contracting.⁽⁵⁾⁽⁷⁾

6 · WORKFORCE TIMING

Roshel's ramp-up at the former Navistar plant will rehire some of the laid-off workforce. Hiring and training offers made in October capture the best technicians and drivers first. After the election, that pool shrinks.⁽¹⁾

Stakeholder	Engagement before Nov 3	Objective
Federal	Site visit for EEIA and ESBOA sponsors; briefing for the Ohio congressional delegation (both parties)	Bipartisan ownership of the proof point
State	Governor's office, JobsOhio, ODJFS Rapid Response	Co-announcement; WIOA / TechCred training funds
Local	Springfield, Clark County and Dayton officials; regional workforce board	Hiring center site; local hiring commitments
Workforce	Former Navistar employees; Roshel	First-wave hires; agree not to compete for the same workers
Ownership ecosystem	Ownership Works, NCEO	Third-party validation of the program design

GUARDRAILS

Nonpartisan posture: officials of both parties are invited to every event. No campaign events, endorsements or political contributions are tied to the transaction. Employee contributions remain subject to SEC pay-to-play rules (Rule 206(4)-5) given public pension LP relationships. All communications are cleared by Legal & Compliance and Blackstone Public Affairs.

X

Execution timeline

Phase 1 runs from committee approval to Election Day; Phase 2 runs from Q1 2027.

Workstream	Wk 1 Oct 5–11	Wk 2 Oct 12–18	Wk 3 Oct 19–25	Wk 4 Oct 26–Nov 3	Phase 2 Nov 2026–Q2 2027
Governance	IC Phase 1 approval (\$48M); Tac Opps / BIP allocation memo	Inter-fund agreement drafted		Conflicts committee: master lease terms	Phase 2 IC (\$158M), Q1 2027
Capital · Tac Opps	Court-filing (PACER) screen OH / IN / KY / MI; trustee calls	DIP term sheets to 2–3 carriers	Interim DIP orders; stalking-horse purchase agreement filed	First DIP funding; route E LOIs	363 sales close (30–60 days); platform signing and close
Capital · BIP	PropCo formed; lender outreach	Chapter 7 auction bids; diesel hedge placed	First fleet and yard purchases close	\$20M Chapter 7 deployed	Platform sale-leaseback; asset-backed debt facility
People & ownership	Ohio Rapid Response; Ownership Works partnership	Hiring center lease (Springfield)	Hiring center opens; CDL cohort 1; first open-book session	First equity grants issued	Driver councils at every terminal; cohorts 2–4
Commercial	Outreach to Arsenal-1 GC and QTS	Roshel meeting	Dedicated-capacity terms	Arsenal-1 GC and QTS LOIs signed	Multi-year dedicated contracts executed
Public affairs	Stakeholder map; Legal & Compliance review	Briefings: state, local, delegation	Site-visit invitations	Announcement and site visit (target Oct 29)	Ongoing reporting: hires, grants, turnover

Key dates

Date	Milestone	Owner
Oct 7	IC Phase 1 approval	Tac Opps / BIP
Oct 14	DIP term sheets out; Chapter 7 bids submitted	Tac Opps / BIP
Oct 16	Diesel hedge placed (50–70% of 12-month volume)	BIP / Treasury
Oct 21	Springfield hiring center opens; CDL cohort 1 starts	OpCo / Ownership Works
Oct 23	Stalking-horse purchase agreement filed; interim DIP orders	Tac Opps
Oct 27	First employee equity grants issued	OpCo
Oct 29	Public announcement and site visit	Public Affairs
Nov 3	Election Day	—
Q1 2027	Phase 2 IC; platform close; 363 closings	Tac Opps / BIP

XI Key risks & mitigants

Risk	Exposure	Mitigant
Diesel	About 23M gal/yr; each \$1/gal move is about \$23M of EBITDA unhedged	Fuel-surcharge pass-through in all dedicated contracts; hedge 50–70% of 12-month volume. Net exposure about \$5–7M per \$1/gal
Anchor freight	Without Arsenal-1 / QTS volume, this is a commodity roll-up at 5–6x	LOIs required before Phase 2; QTS relationship sits within BIP
Retention	The \$7M retention line funds the 18% pool	Quarterly turnover KPI; vesting tied to tenure
Integration	Six or more carriers acquired out of bankruptcy	Single dispatch, telematics and safety platform; operating partner placed by Week 4
Exit multiple	At 7.0x or below, LP returns compress toward the downside case	Exit B (ESOP) provides a buyer at 7.0x

XII Cross-fund governance

- The OpCo–PropCo master lease is priced at arm's length and benchmarked against third-party sale-leaseback quotes. It is reviewed by the conflicts committee before Phase 2.
- QTS contracts with the platform on market terms, with no preferential pricing between BIP-owned entities.
- Allocation between Tac Opps and BIP follows the asset split in Section III and is documented in an inter-fund agreement.

(1) AP, "A gut punch in Ohio: Nearly 1,400 laid off at truck factory," Oct 3, 2026 — [US News](#).

(2) [FreightWaves](#); [Newsweek](#), Sep–Oct 2026.

(3) [NBC4](#), "One year of Arsenal-1"; [Ohio Tech News](#).

(4) [Blackstone press release](#), [QTS acquisition by BIP and BREIT](#), 2021.

(5) "The Ownership Realignment: The Strategic Convergence of Dalio's Macroeconomics and Stavros's Microeconomics," internal research paper.

(6) [Ownership Works](#), [C.H.I. Overhead Doors case study](#).

(7) [NCEO](#), [Employee Equity Investment Act \(H.R. 3383 / S. 1618\)](#). Pending legislation; not in base case.

(8) Deal team model. Illustrative assumptions: about 1,500 employees, \$65k average salary, 4-year hold, gross returns before fees and carry.

(9) [TheStreet](#); [IndexBox](#).

(10) [Newsweek](#), "Trump rallies near Ohio truck factory where 1,400 workers lost jobs", Oct 2026.

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Note: Figures are model outputs from deal team assumptions (8); the full Excel model follows. BX-TACOPPS-BIP-EQBELT-IC-20261005